

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester I Examination, 2023-24

Paper No. BCH-111: Financial Accounting-I

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.** Journalise the following transactions in the books of M/s ABC for the month of April 2023: [14]

April 1: Opening balances in different accounts: Leasehold Premises £3,80,000; Machinery £2,76,000; Stock £5,19,000; Cash at Bank £76,200; Cash in Hand £8,600; Loan @ 12% £2,00,000; Creditors £2,00,000; Due to Wilson & Grey £60,000; Due from Mohan & Co. £14,600; Due from Cavendish & Co. £12,600; Furniture £15,000.

April 1: Infused additional capital in business: £5,00,000.

April 5: Received a cheque from Cavendish & Co. in full settlement of his balance till date: £12,350.

April 10: Sold goods to Cavendish & Co.: £30,400.

April 18: Purchased a motorcycle for the owner: £50,000.

April 25: Cavendish & Co. went insolvent. Nothing is recoverable from them.

April 30: Allow interest (rounded to the nearest rupee) on capital @ 10% per annum.

OR

Write notes on any two of the following:

[14]

- (a) Capital Expenditure and Revenue Expenditure
 - (b) Subsidiary Books
 - (c) Dual Aspect Concept
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Question 2. Following is the Trial Balance of Alfa Traders as on 31st March, 2021:

Debit Balances	Amount (£)	Credit Balances	Amount (£)
Opening Stock	1,00,000	Capital	1,60,000
Sundry Debtors	1,55,000	Sundry Creditors	50,000
Cash at Bank	15,000	Sales	4,50,000
Sundry Assets	2,93,000	Discount and Commission	12,500
Bad Debts	1,000	Provision for Doubtful Debts	10,000
Accrued Commission	1,700	Salaries Outstanding	12,000
Purchases	1,50,500	Loan (interest rate 12% p.a.)	1,00,000
Depreciation	4,500	Suspense Account	1,200
Income Tax (Drawings)	10,000		
Salaries	36,000		
Wages	28,000		
Interest on Loan	1,000		
Total	7,95,700	Total	7,95,700

Adjustments:

- Closing Stock at the end of the year was valued at £80,000.
- Further bad debts occurred during the year were £3,000.
- Maintain a 5% provision for doubtful debts.
- An amount of £1,200 paid as rent was wrongly debited to the landlord's account and included in debtors.
- Dishonour of a cheque for £5,000 was not recorded in the books. It is expected that the concerned debtor will not pay more than 40% of the amount due.
- The Suspense Account in the Trial Balance was on account of a wrong totaling of the discount received column in the cash book.

Prepare the Trading and Profit & Loss Account for the year ended 31st March, 2021 and a Balance Sheet as on that date. [14]

OR

What is a Trial Balance? Why and how is it prepared? [14]

Question 3. A and B are partners sharing profit in the ratio of 3:2. The Balance Sheet of their firm as at 31st March, 2022 is as follows:

Liabilities	Amount (£)	Assets	Amount (£)
Creditors	1,40,000	Cash in Hand	1,10,000
Bank Overdraft	2,00,000	Sundry Debtors	90,000
Capital Accounts:		Land and Building	4,00,000
A	3,50,000	Plant & Machinery	3,40,000
B	2,50,000		
Total	9,40,000	Total	9,40,000

C is admitted as a partner with effect from 1st April, 2022 with the new profit sharing ratio being 2:2:1. The other details relating to C's admission are:

- C will bring in £2,00,000 as his share of capital.
- The value of the firm's goodwill is valued at £2,00,000.
- An amount of £5,000 owing to D for purchase of goods has been omitted from the list of Sundry Creditors.
- Building is to be revalued at £5,00,000 and Plant is to be written down to £3,00,000.
- The partners shall either pay cash to the firm or withdraw cash from the firm to adjust their capital balances in accordance with the new profit sharing ratio.

Pass the necessary Journal Entries to record the admission of the new partner and prepare the Balance Sheet of the new firm. [14]

OR

What is a Memorandum Revaluation Account? Why and how is it prepared? [14]

Question 4. X, Y, and Z are partners in a firm. They share profits and losses in their capital ratio as it appeared in the Balance Sheet as on 31st March, 2021. On 1st April, 2021 Y retired. The Balance Sheet as on 31st March, 2021 is as under:

Liabilities	Amount (£)	Assets	Amount (£)
Sundry Creditors	2,30,000	Cash at Bank	50,000
Capital Accounts:		Stock	1,80,000
X	6,00,000	Sundry Debtors	3,40,000
Y	4,00,000	Land and Building	5,10,000
Z	2,00,000	Machinery	3,50,000
Total	14,30,000	Total	14,30,000

The retirement of Y is based on the following terms:

- The new profit sharing ratio between X and Z shall be 3:2.
- Y's share of goodwill is to be adjusted through the remaining partners' capital accounts. The value of goodwill of the firm is £3,00,000.
- The capital amount payable to Y is to be paid in three equal annual installments after transferring his claim to his loan account. His loan account bears an interest rate of 6% p.a.
- The value of Land and Building is to be appreciated by £3,30,000.
- An unrecorded contingent liability of £30,000 has devolved and is payable.
- Finally, the total capital balance of X and Z will be adjusted in their new ratio of 3:2. For this, X and Z will bring in or withdraw cash as the case may be.

Prepare the necessary ledger accounts (Revaluation A/c, Partners' Capital A/cs, Y's Loan A/c) and the Balance Sheet of the reconstructed firm. [14]

OR

Explain the concept of goodwill and give journal entries for recording goodwill in each of the following cases: [14]

- When a partner retires and a goodwill account is to be raised in the books.
- When a partner retires and a goodwill account is raised and subsequently written off.
- When the retiring partner's share is to be adjusted into the accounts of continuing partners without raising a Goodwill account.

Question 5. The Balance Sheet of a firm, when a partner D became insolvent on 31st March, 2021, stood as follows:

Liabilities	Amount (£)	Assets	Amount (£)
Creditors	1,50,000	Sundry Fixed Assets	2,50,000
General Reserve	1,20,000	Cash in Hand and Bank	40,000
Capital Accounts:		Capital Accounts:	
A	1,30,000	C (debit balance)	1,10,000
B	1,10,000	D (debit balance)	1,10,000
Total	5,10,000	Total	5,10,000

Partners shared profits and losses equally. The fixed assets of the firm realized £2,00,000 and creditors were paid in full. You are required to close the books of the firm applying the Garner vs. Murray rule. [14]

OR

Give the accounting entries to record the dissolution of a partnership firm. Also explain the important points and applicability of the Garner vs. Murray rule. [14]